

Bocconi

CORPORATE STRATEGY: VERTICAL INTEGRATION AND DIVERSIFICATION 30060 - MANAGEMENT

Management Book – Chapter 11

AGENDA

1. CORPORATE STRATEGY
2. BOUNDARIES OF THE FIRM
3. VERTICAL INTEGRATION ALONG THE INDUSTRY VALUE CHAIN
4. CORPORATE DIVERSIFICATION
5. SUMMARY OF MAIN POINTS

1.0

CORPORATE STRATEGY



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We define **CORPORATE STRATEGY** as

The decisions that senior management makes and the goal-directed actions it takes to gain and sustain competitive advantage across the industries and markets where they operate



Poll time!

Corporate strategy
answers the
key question *"where to
compete?"*

- A) Yes
- B) No



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Why do firms need to grow?

- TO INCREASE PROFITABILITY

Profitable growth allows businesses to provide a higher return for their shareholders, or owners

- TO LOWER COSTS

Larger firms may benefit from economies of scale, driving down average costs as their output increase

- TO INCREASE MARKET POWER

Firms can change industry structure in their favour by buying out their competitors

- TO REDUCE RISK

Competing in different industries might allow firms to compensate for lower performance in certain sectors

- TO MOTIVATE MANAGEMENT

Growing firms afford career opportunities and professional development for employees

Firms can grow along three dimensions

VERTICAL INTEGRATION

along the industry value chain



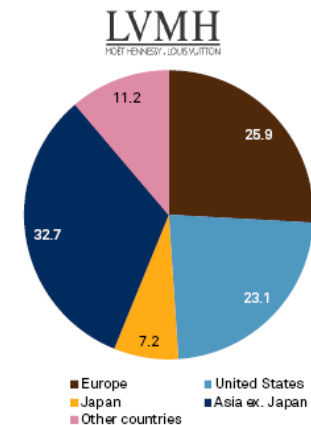
DIVERSIFICATION

of products and services



GEOGRAPHIC SCOPE

in terms of regional, national, or global markets



Determination of corporate strategy

Answer 3 key questions:

VERTICAL INTEGRATION

— In what stages of the industry value chain should the company participate?

DIVERSIFICATION

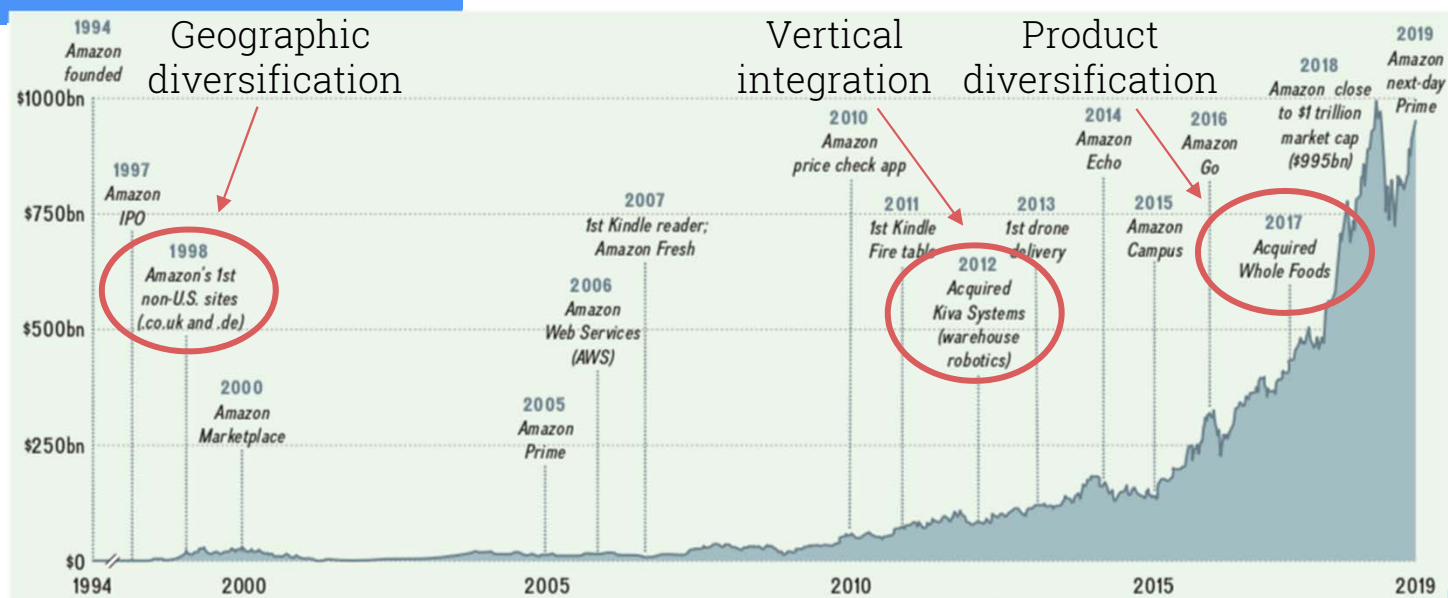
— What range of products and services should the company offer (and not offer)?

GEOGRAPHIC SCOPE

— Where should the company compete geographically?

Which corporate strategic decisions has Amazon taken to ensure its continued growth?

Timeline of Amazon's corporate strategic decisions



Concepts that guide corporate strategic decisions

CORE COMPETENCIES

01 Unique strengths embedded deep in a firm that allow differentiation of its products and services

ECONOMIES OF SCOPE

03 Arising from producing two or more outputs at less cost than producing each individually

ECONOMIES OF SCALE

02 Occur when a firm's average cost per unit decreases as its output increases

TRANSACTION COSTS

04 Costs associated with an economic exchange

Core competencies – the example of Amazon

- Artificial intelligence capabilities are a core competency and source of sustainable competitive advantage
- Amazon's AI capabilities provide product enhancement and improved customer experience, thereby making the company a desirable platform for customers
- This condition strengthens the company's strategic position as a major technology business and influencer in the global market



Economies of scale – the example of Amazon

- Amazon's key source of scale has come from its ability to amortize its massive investment in the Web shopping engine across multiple categories and service contracts
- Instead of buying, owning, and maintaining physical data centers and servers, a cloud provider such as Amazon Web Services (AWS) can access technology services, such as computing power, storage, and databases, on an as-needed basis
- The cost of building and maintaining a user-friendly online shopping interface has proved to be beyond the means of many Amazon competitors



Economies of scope – the example of Amazon

- Amazon's distribution network ranks among the largest networks for fulfilling direct customer orders (rather than moving full cases and pallets as a traditional retailer does)
- Amazon Fulfillment Centers store products for packing and shipping
- Shipping a range of products is more efficient than shipping a single product and Amazon sells an extremely broad range of products. As a result, it can negotiate favourable deals with freight companies.



amazon fulfillment



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Transaction costs – the example of Amazon

- Through one-click purchasing (patented in 1999) and Prime subscription, Amazon reduces the cost of finding what you want, the time it takes to get it into your hands, the effort it would take to return it, the added cost of shipping (Prime), the payments process (One-Click) and many other subtleties that are all part of how their extremely efficient e-commerce market works
- These innovations dramatically lower consumers' cost of engaging with their markets and thereby lowers transaction costs

☐ Yes, I want **unlimited One-Day Delivery** with **amazon prime**

 **Add to Basket**

or 1-Click Checkout

 **Buy now with 1-Click®**

☐ This is a gift

2.0

BOUNDARIES OF THE FIRM



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We define **TRANSACTION COSTS** as

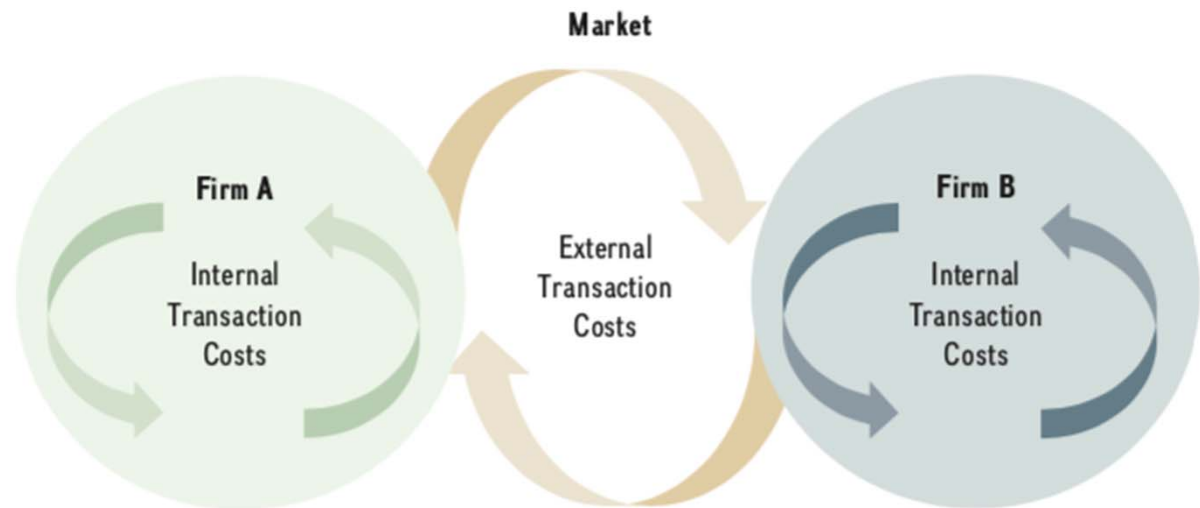
All internal and external costs associated with an economic exchange, whether it takes place within the boundaries of a firm or in markets

INTERNAL COSTS

Pertain to organizing economic exchange within the firm such as costs of recruiting and retaining employees

EXTERNAL COSTS

Costs of searching, negotiating, and enforcing contracts with firms or individuals in the open market



Firms vs. markets: Make or buy?

Transaction costs determine and predict firm boundaries in 2 ways:

MAKE

01 Problem: should firm activities be pursued in-house?

If $C_{\text{in-house}} < C_{\text{market}}$

Solution: vertically integrate

BUY

02 Problem: should goods and services be obtained externally?

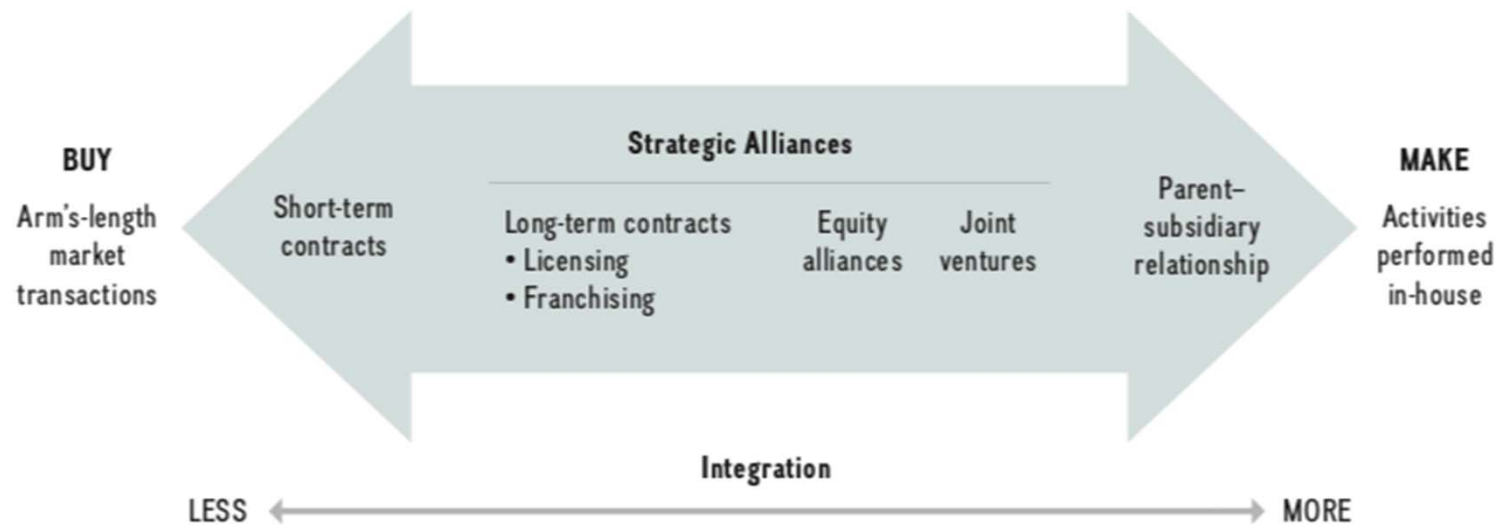
If $C_{\text{in-house}} > C_{\text{market}}$

Solution: contract with market players

Organizing economic activity: firms vs. markets

	Firm	Market
Advantages	- Command and control - Coordination - Transaction-specific investments - Community of knowledge	- High-powered incentives - Flexibility
Disadvantages	- Administrative costs - Low-powered incentives - Principal-agent problem	- Search costs - Opportunism - Incomplete contracting - Enforcement of contracts

Alternatives on the make-or-buy continuum



Short-term contracts

- Describes contracts to be awarded with a short duration, generally less than one year
- When engaging in short-term contracting, a firm sends out requests for proposals to several companies, which initiates competitive bidding for contracts
- This allows a somewhat longer planning period than individual market transactions and the buying firm can often demand lower prices due to the competitive bidding process



VS



Strategic alliances

Strategic alliances are voluntary arrangements between firms that involve the sharing of knowledge, resources, and capabilities with the intent of developing processes, products, or services

LONG-TERM CONTRACTS

Longer than a year and helps facilitate transaction-specific investments



EQUITY ALLIANCES

Partnership in which at least one partner takes partial ownership in the other partner



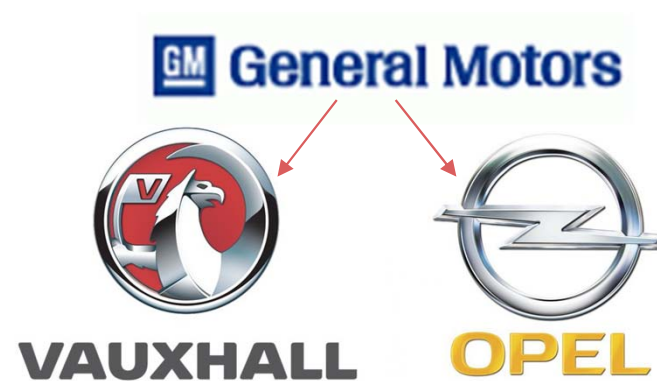
JOINT VENTURES

Two or more partners create and jointly own a new organization



Parent-subsidary relationship

- Describes the most-integrated alternative to performing an activity within one's own firm boundaries
- The corporate parent owns the subsidiary and can direct it via command and control (fiat)



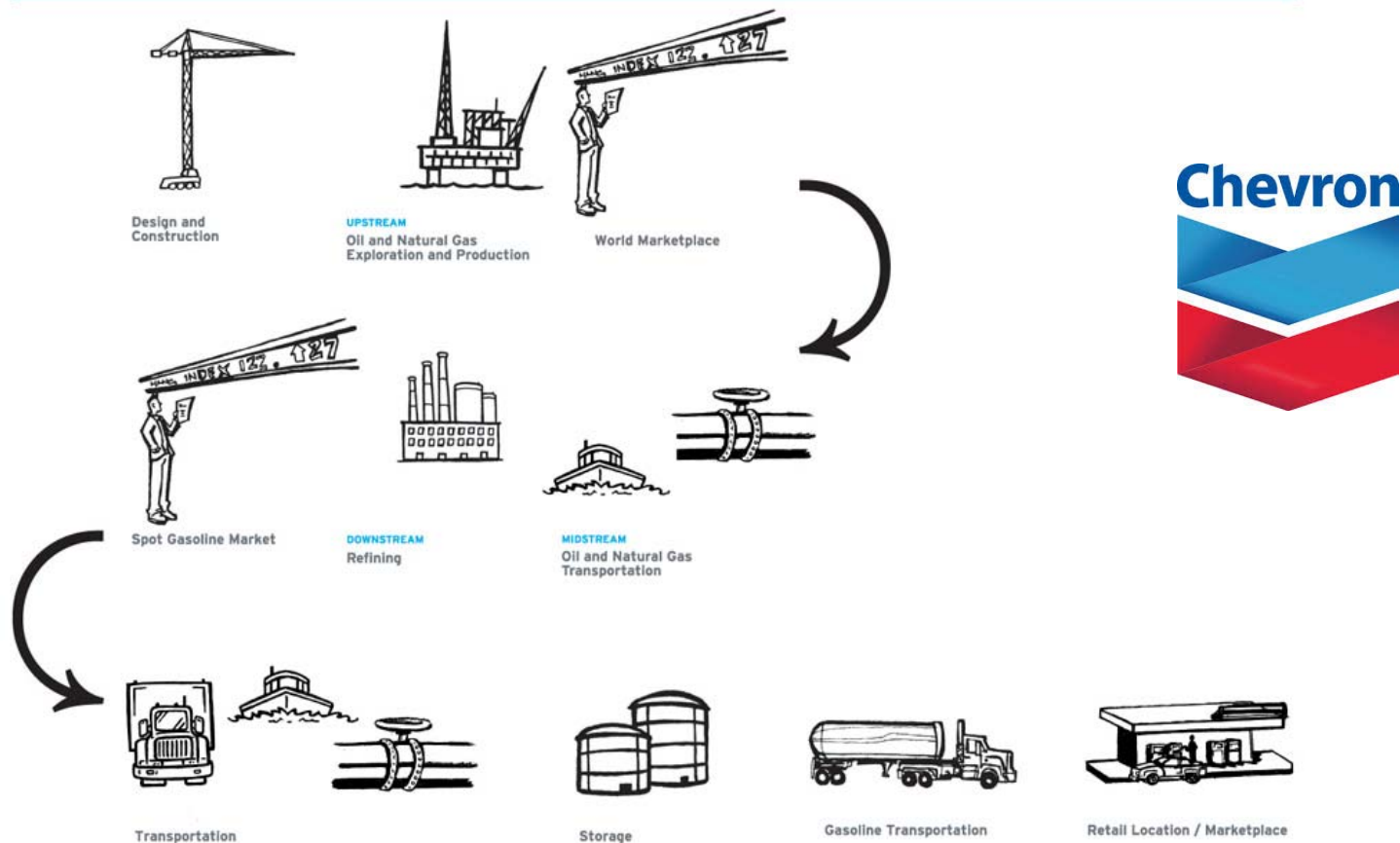
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VERTICAL INTEGRATION ALONG THE VALUE CHAIN

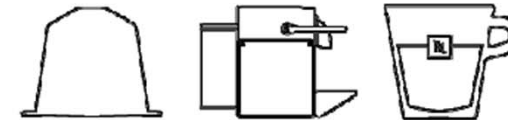


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FUEL SUPPLY CHAIN



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Nespresso Sustainability Advisory Board Backgrounder

Background

The *Nespresso* unique vertically integrated business model, from coffee sourcing to direct to consumer route to market, has enabled the company to implement a holistic approach to sustainable development across its entire value chain. This end-to-end approach to sustainability encompasses a wide range of initiatives, focused on achieving specific targets in sustainable coffee sourcing; the production, use and disposal of capsules; and reduction of the carbon footprint of a cup of coffee.



In 2009, the company committed to source 80% of its coffee from its AAA Sustainable Quality™ Program, to put in place the capacity to collect 75% of used *Nespresso* capsules for recycling and to reduce the carbon footprint needed to produce a cup of Nespresso coffee by 20%.

We define **VERTICAL INTEGRATION** as

The firm's ownership of its production of needed inputs or of the channels by which it distributes its outputs

Industry value chain

Depicts transformation of raw materials into finished goods and services

Each vertical stage represents a distinct industry

UPSTREAM INDUSTRIES

Backward vertical integration

Stage 1 - Raw materials

Stage 2 – Components; Intermediate goods

Stage 3 - Final assembly; Manufacturing

Stage 4 – Marketing; Sales

Stage 5 - After-sales service & support

Forward vertical integration

DOWNSTREAM INDUSTRIES

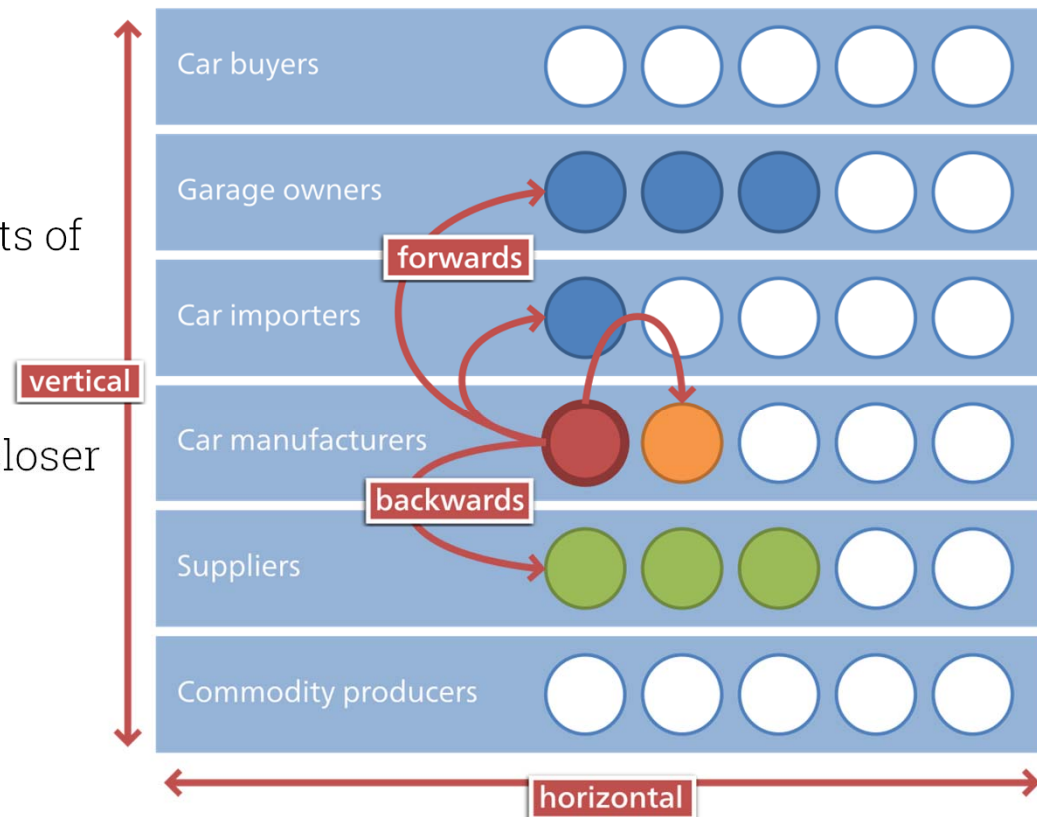
Types of vertical integration

BACKWARD INTEGRATION

Moving ownership of activities upstream to the originating inputs of the value chain

FORWARD INTEGRATION

Moving ownership of activities closer to the end customer



Benefits and risks of integration

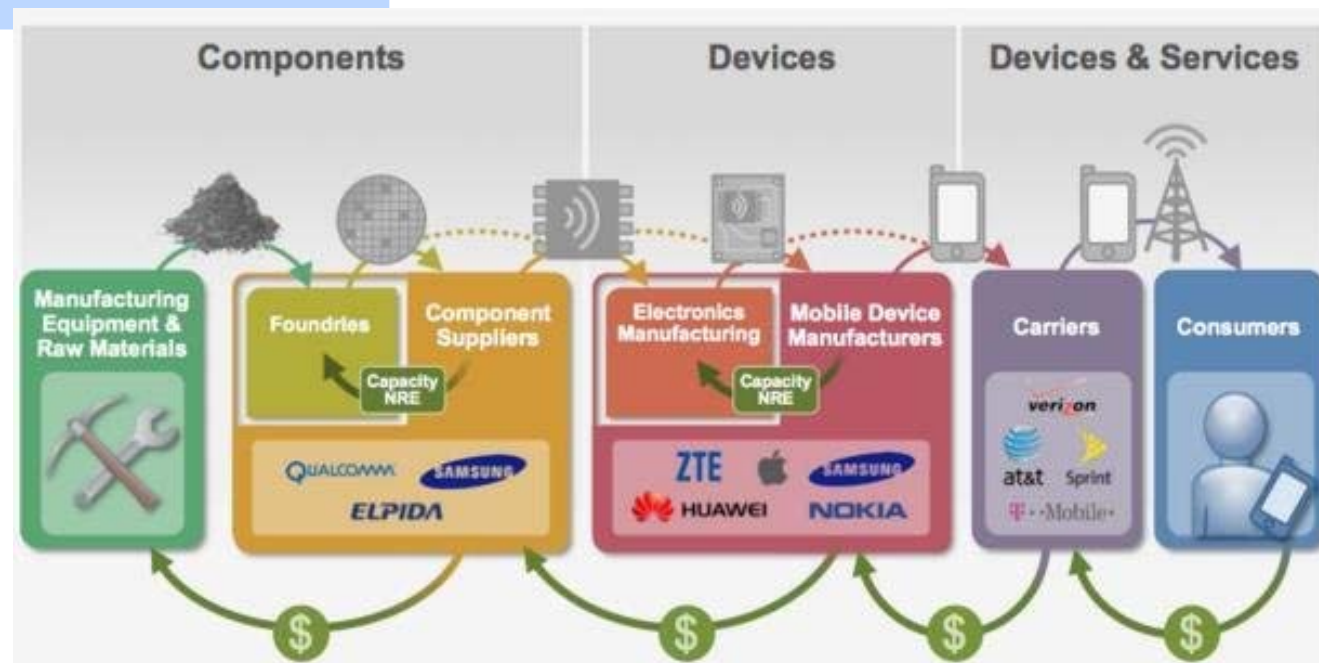
Benefits

- Lowering costs
- Improving quality
- Facilitating scheduling and planning
- Facilitating investments in specialized assets
- Securing critical supplies and distribution channels

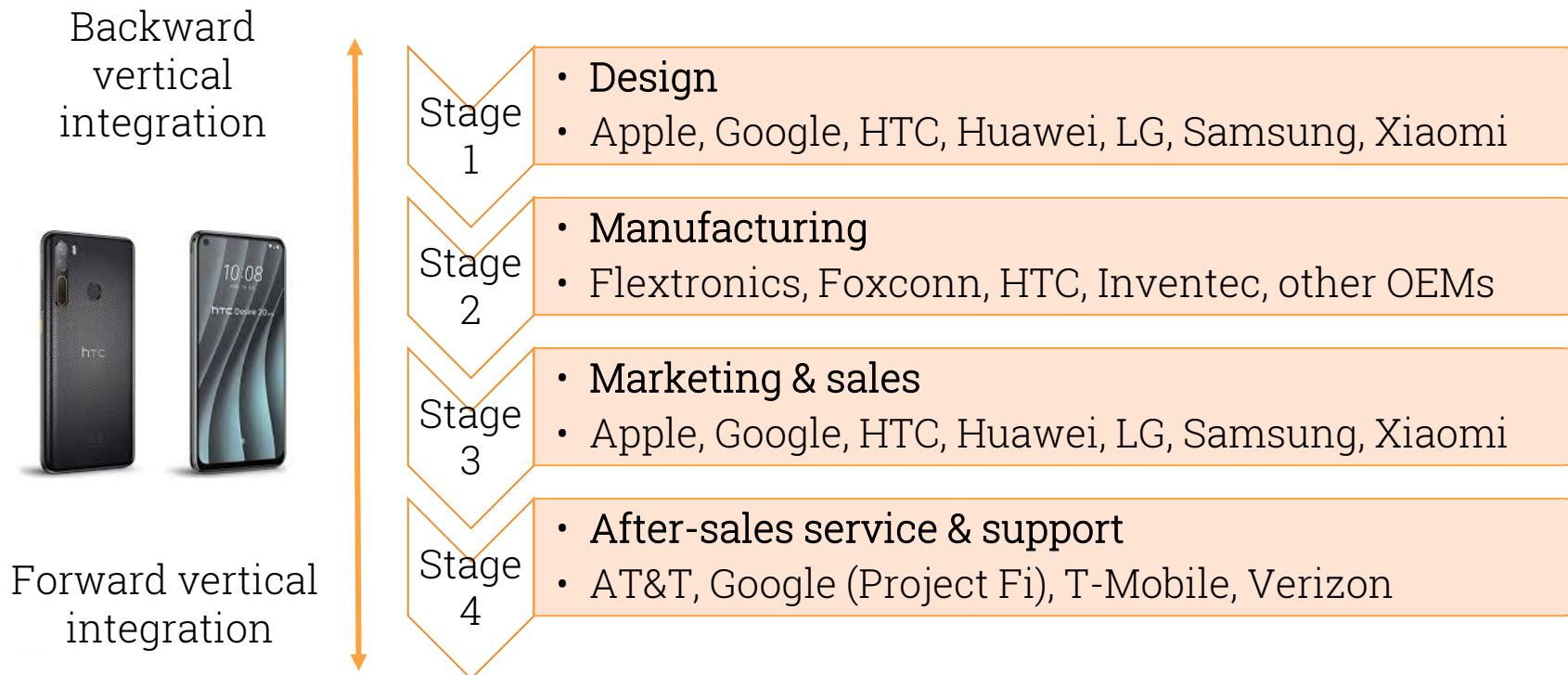
Risks

- Increasing costs
- Reducing quality
- Reducing flexibility
- Increasing the potential for legal repercussions

Smartphone industry value chain: An example



HTC's backward and forward integration along the smartphone industry value chain



When does it make sense to vertically integrate?

- The main reason to vertically integrate is the failure of vertical markets
- Vertical market failure occurs when
 - Transactions within the industry value chain are too risky
 - Alternatives to integration are too costly

4.0

CORPORATE DIVERSIFICATION



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We define **DIVERSIFICATION** as

An increase in the variety of products and services a firm offers or markets and the geographic regions in which it competes



Types of diversification strategies

01 PRODUCT DIVERSIFICATION STRATEGY

A firm that is active in several different product markets

02 GEOGRAPHIC DIVERSIFICATION STRATEGY

A firm that is active in several different countries

03 PRODUCT-MARKET DIVERSIFICATION STRATEGY

A company that pursues both a product and a geographic diversification

Product diversification



- Coca Cola focuses on soft drinks and thus on a single product market
- Direct competitor to Coca Cola
- But more diversified as it sells other beverages and different types of chips such as Lay's, Doritos, Cheetos and Quaker Oats products, in addition to soft drinks

Geographic diversification



- KFC, world's largest quick-service chicken restaurant chain operates 20,000 outlets in some 120 countries



- Privately held Chick-fil-A, world's second largest quick-service chicken restaurant, is a direct competitor to KFC and operates in the US only with 2,200 locations

Types of diversification

Based on percentage of revenue and relationship of core competencies across business units

SINGLE BUSINESS

01 Derives revenues >95% from one business
Low level of diversification

DOMINANT BUSINESS

02 Derives revenues between 70-95% from single business

Pursues at least one other business activity



RELATED DIVERSIFICATION

03 Derives revenues <70% from single business

Other businesses linked to primary business

UNRELATED DIVERSIFICATION

04 Derives revenues, 70% from single business
Few, if any, linkages among businesses

Some examples...

SINGLE BUSINESS

German company
Birkenstock makes only one product: contoured cork shoes



RELATED DIVERSIFICATION

J&J operates in related industries of pharma & medical devices/diagnostics



DOMINANT BUSINESS

Harley-Davidson generates 80% of its revenue by selling its iconic motorbikes and remaining 20% from motorcycle parts and accessories



UNRELATED DIVERSIFICATION

Tata conglomerate operates in unrelated industries of chemicals, communications, consultancy, automobiles, hospitality, etc.



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Poll time!

Overall, does diversification lead to superior performance?

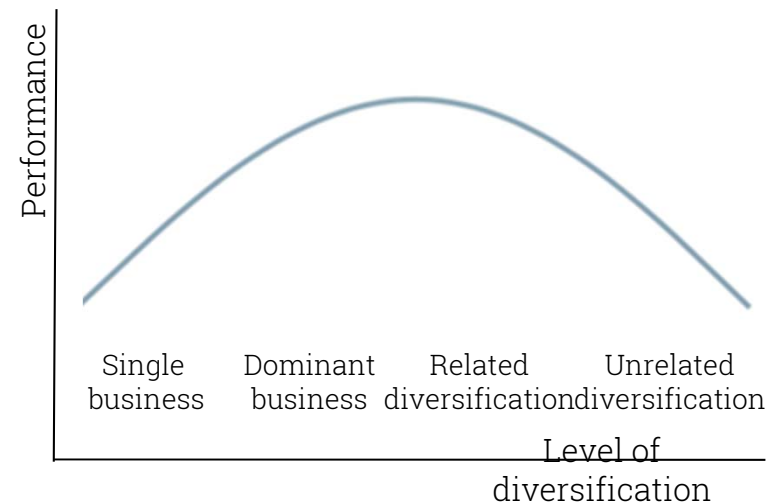
- A) Yes
- B) No
- C) It depends



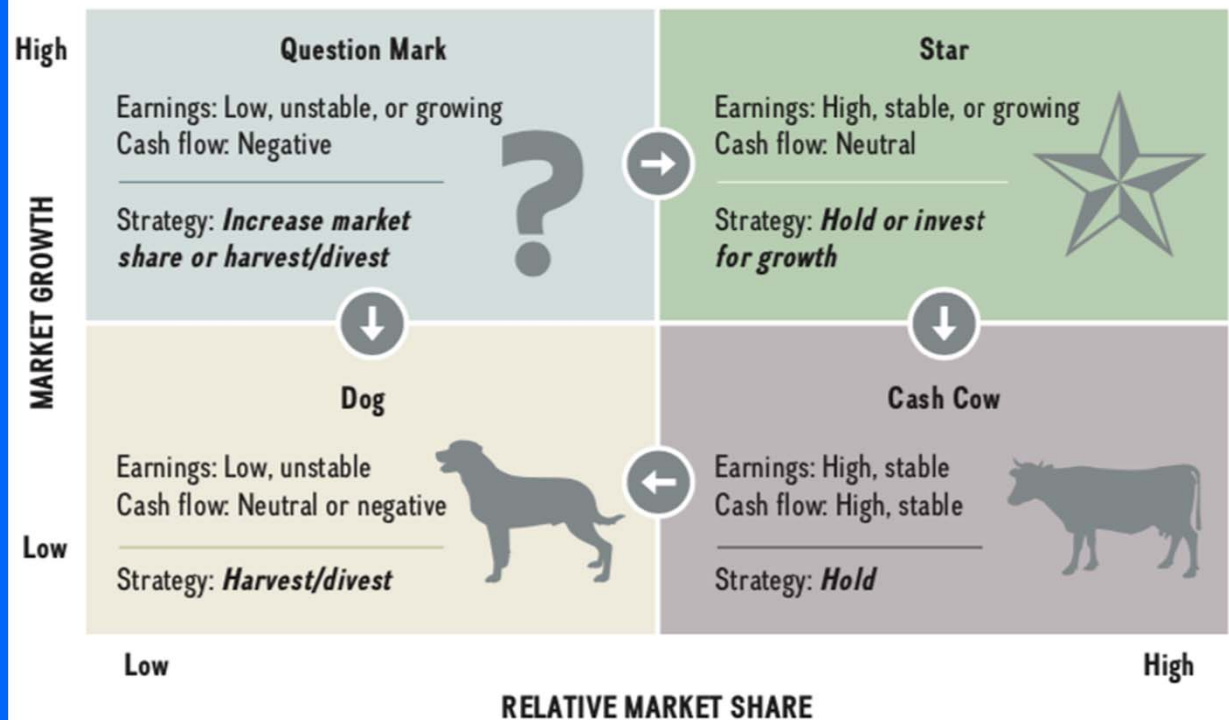
Diversification and firm performance

Leaders must ask whether the individual businesses are worth more under the company's management than if each were managed individually

- Firms that pursue unrelated diversification are often unable to create additional value and experience a **diversification discount**
- Firms that pursue related diversification are more likely to improve their performance and experience a **diversification premium**



Corporate executives can restructure the portfolio of their firm's businesses by using the BCG growth-share matrix



- Ipotizzare tre differenti scenari, ad esempio diversificazione, cambio offerta,
- Data probability e revenue streams calcolare expected value
- Oppure dati su aziende mono business, conglomerate, diversificaz. E chiedere di interpretare i valori
- Integrazione verticale: inserire diversi scenari
- Idea è quella di inserire tabelle con dati e spingere all'interpretazione, eventualmente inserire probabilità e chiedere di calcolare expected value

5.0

SUMMARY OF MAIN POINTS



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01

WHAT IS CORPORATE STRATEGY?

Corporate strategy addresses the question “where to compete?”

02

BOUNDARIES OF THE FIRM

Transactions help determining and predicting firm boundaries

03

VERTICAL INTEGRATION

Firms can grow along the value chain by vertical integration

04

DIVERSIFICATION

Firms can grow by diversifying into new product and geographic markets

THANKS.



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